IN THE HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD
(Special Original Jurisdiction)

MONDAY, THE EIGHTH DAY OF JUNE
TWO THOUSAND AND TWENTY SIX

PRESENT

THE HONOURABLE MRS JUSTICE SUREPALLI NANDA

WRIT PETITION NO: 22294 OF 2024

Between:

Narendra Agrawal, S/o. Late Shri Nathulal Agrawal, Aged about 55 years, Occ. Chief Training Manager, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderabad-33.

...PETITIONER

AND

1. Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderabad-33. Rep. by its Company Secretary
2. The Dy Managing Director, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
3. The Vice President - HR, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
4. The Chairman, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
5. Dr K Anand Kumar, S/o Kanakasapapathy Kandasamy, Managing Director, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33
6. Mr M C Muthiah, S/o Lath M Chinnakaruppan, Vice President-HR, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33
7. Telangana Police Department, Rep. by its Director General,Hyd

...RESPONDENTS

Petition under Article 226 of the Constitution of India praying that in the circumstances stated in the affidavit filed therewith, the High Court may be pleased to issue an appropriate Writ, Order or Direction **Calling for the relevant records and set aside the Letter No III,: HR: 2024, dated 29/03/2024, issued by the 3rd Respondent as ILLEGAL, besides an act of arbitrary exercise of power performed with mala fide intent, and violation of Article 14, 16 and 21 of the Constitution of India and direct the respondent company to reinstate the petitioner with continuity of service and all the consequential benefits with**

interest and cost, imposing exemplary penalty and cost upon respondent 5 and 6, for repeated abuse of authority and continued harassment of the innocent and upright petitioner in a public entity.

(As per Court order dated 09-01-2025 vide IA.No.5 of 2024 in WP.No.22294 of 2024, Prayer is amended)

I.A. NO: 1 OF 2024

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the Respondent No 1 company to pay to the petitioner Rs 3,00,000/- (Rs Three Lakh) per month, starting April 2024, pending disposal and subject to the outcome of the Writ Petition.

I.A. NO: 2 OF 2024

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the respondent No 1 company to forthwith allow the petitioner ACCESS TO HIS ACCOUNT IN IIL HOME and also access to all the emails that he received and sent from the date of his joining the company (28.02.2007) till 29.03.2024, in the interest of justice.

I.A. NO: 3 OF 2024

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the Respondent No 1 company to renew the Health Insurance Policy of the Petitioner and his family, as per company policy, immediately, and communicate the details of the same to the petitioner.

I.A. NO: 4 OF 2024

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the Respondent No 1 company to pay to the Petitioner at least his last drawn monthly salary from April 2024 onwards, every month, pending disposal and subject to the outcome of the above writ petition.

I.A. NO: 6 OF 2024

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to dispose of the above Writ Petition expeditiously, in the interest of justice.

Counsel for the Petitioner: SRI NARENDRA AGARWAL (PARTY IN PERSON)
Counsel for the Respondents: SRI AVINASH DESAI, SENIOR COUNSEL FOR SRI M.PRANAV

The Court made the following: ORDER

IN THE HIGH COURT OF TELANGANA AT HYDERABAD

HON'BLE MRS. JUSTICE SUREPALLI NANDA

WRIT PETITION No.22294 OF 2024

DATED: 08.06.2026

Between:

Sri Narendra Agarwal

... Party-in-Person

And

Indian Immunological Limited
Rep. by its Company Secretary and Others

... Respondents

ORDER:

Heard Sri Narendra Agarwal, party-in-person and Sri Avinash Desai, learned senior designated counsel representing Sri M.Pranav, learned counsel appearing on behalf of the respondents on record.

2. The party-in-person approached the Court seeking prayer as under:

> "... to issue an appropriate Writ Order or Direction Calling for the relevant records and set aside the Letter No IIL: HR: 2024, dated 29/03/2024 issued by the 3rd Respondent as illegal besides an act of arbitrary exercise of power performed with mala fide intent and violation of Article 14, 16 and 21 of the Constitution of India and direct the respondent company to reinstate the petitioner with continuity of service and all the consequential benefits with interest and cost imposing exemplary penalty and cost upon respondent Nos. 5 & 6 for repeated abuse of

authority and continued harassment of the innocent and upright petitioner in a public entity and pass

3. <u>The case of the party-in-person/petitioner, in brief, as per the averments made by the party-in-person/petitioner in the affidavit filed by the party-in-person/petitioner in support of the present writ petition, is as under:</u>

The party-in-person/petitioner had joined Indian Immunological Limited (IIL), a wholly owned subsidiary of the National Dairy Development Board, on 28.02.2007 as Manager (Grade III) and subsequently held various responsible positions in marketing, human resources and training. In June 2014, after being assigned additional responsibilities, Petitioner was allegedly subjected to adverse treatment, transferred to a lower role and ultimately terminated from service on *24.01.2015* by invoking the notice clause in petitioner's appointment letter. Challenging the termination, the petitioner herein had filed *W.P. No. 4159 of 2015* before this court. Pursuant to orders passed in *W.P. No. 4159 of 2015* and in *W.A. No. 143 of 2017*, the petitioner had been reinstated in February 2017. The Division Bench of this Court vide judgment dated 04.01.2021 in W.A. No. 143 of 2017, held that IIL is "State" under Article 12 of the

Indian Constitution and that the petitioner was a permanent employee.

It is further the case of the petitioner that the petitioner continued to face discrimination regarding posting, pay fixation and service benefits. On *03.09.2018*, the petitioner herein was suspended and, on *11.10.2018*, petitioner's services were again terminated by invoking *Rule 31 of the Service Rules* on the ground of loss of confidence. The petitioner had challenged the same before this Court in *W.P. No. 38211 of 2018.* The interim order dated 25.10.2018 was upheld in appeal, and the writ petition was allowed on 17.09.2019 directing reinstatement with continuity of service and consequential benefits. The respondents' appeal in W.A. No. 763 of 2019 was dismissed on 25.02.2022, and the Special Leave Petitions filed against the judgments were dismissed on 19.09.2022, leading to the petitioner's reinstatement in October 2022.Ultimately, vide Letter *No. IIL:HR:2024 dated 29.03.2024*, issued by the Vice President-HR, petitioner's services were again terminated under the guise of a discharge from service. Aggrieved by the continuous harassment, the petitioner had filed the present writ petition seeking quashing of the discharge letter, reinstatement with continuity of service and consequential benefits.

4. PERUSED THE RECORD:

A. The impugned order of terminus vide IIL:HR:2024, dated 29.03.2024 issued by the respondent No.3 to the petitioner is extracted hereunder:-

This refers to the Contract of Service for a Fixed Term, dated 14.11.2022 (Contract).

Your appointment was contractual in nature for a period of 3 years from 01.04.2021. The term of your contract will end on 31.03.2024, after office hours by efflux of time. Since the term of your contract will come to an end on 31.03.2024, at the close of office hours, you will stand discharged from Indian Immunologicals Limited thereafter.

Kindly treat this communication as the Discharge Letter form Indian Immunologicals Limited as regards your contractual appointment.

The amount of outstanding consideration, in accordance to the Contract, shall be credited in your account separately, in due course of time.

Please take note accordingly.

B. The relevant portion of the order vide IIL:HR:2021-22, dated 14.11.2022 of the Managing Director, Indian Immunologicals Limited is extracted hereunder:-

This letter, containing the 'Terms of Employment, is being issued to you in modification of the Reinstatement Order dated 03.10.2022 whereby you have been reinstated into the services of the Company.

Whereas, you were issued with offer of appointment : 09-02-2007, offering you appointment as Manager in the Grade of M-III, in Marketing Department and accordingly, you joined services on 28.02.2007. On reporting you were issued with terms of appointment dt:02.03.2007. As per the terms and conditions, which came into force

w.e.f. 28.02.2007, you were in employment for a period of 3 years w.e.f. 28.02.2007.

Whereas, vide letter dt:-01.04.2009, your services were renewed for a further period of 3 years w.e.f. 01.04.2009, on terms and conditions specified therein.

Whereas, vide letter dt:-01-04-2012 your services were renewed for further period of 3 years w.e.f 01-04-2012, on forms and conditions specified therein.

Whereas, before the expiry of the period of 3 years, your services were terminated vide order dt:-24-01-2015 which were challenged in WP. No. 4159 of 2015. The Hon'ble High Court at Hyderabad, by orders dt:-24-11-2016 set aside the termination orders. WA. No. 143 of 2017 was filed by the Indian Immunologicals Limited. During the pendency of the writ appeal, you were taken into service on 09.02.2017 subject to the outcome in WA.No.143 of 2017.

Whereas, disciplinary proceedings are initiated alleging certain irregularities on your part and you were issued with charge-sheet dt:-09-04-2018. Challenging, the charge-sheet, you filed W.P.No.18397 of 2018 was filed and the Hon'ble High Court by order dt:- 08-06-2018 stayed all further proceedings pursuant to the charge sheet.

Whereas, you were placed under suspension by order dt:- 03-09-2018, against which you have filed WP. No. 33991 of 2018 before the Hon'ble High Court at Hyderabad. Thereafter, you were also issued with another set of charge-sheet vide proceedings dt:- 28-09-2019.

Whereas, your services were terminated vide orders dt:- 11-10-2018 invoking Rule 31 of the CDA Rules of the Company. Aggrieved by the same, you have filed WP. No. 38211 of 2018 and the Hon'ble High Court granted interim suspension by orders dt:- 28-10-2018 and later allowed the writ petition by orders dt:- 17-09-2019. Aggrieved by the same, WA. No. 763 of 2019 was filed.

Whereas, WA. No. 143 of 2017 was dismissed by orders dt:-04-01-2021. Aggrieved by the same SLP (C) No. 8633-8635 of 2021 was filed before the Hon'ble Supreme Court.

Whereas, WA. No. 763 of 2019 was dismissed by the Hon'ble High Court by orders dr:-25-02-2022. Aggrieved by the same, SLP (C). No. 4919 of 2022 was filed before the Hon'ble Supreme Court.

Whereas, the Hon'ble Supreme Court by orders dt:- 19-09-2022 dismissed the SLP (C) No. 8633- 8635 of 2021 and SLP (C). No. 4919

of 2022 by orders dt:-19-09-2022; by keeping the questions of law raised by the Company open.

Whereas, in compliance of the orders dated 24.11.2016 and 17.09.2019 of the Hon'ble High Court of Judicature at Hyderabad, Telangana and orders dated 19.09.2022 of the Hon'ble Supreme Court, you were issued with reinstatement orders dt:-03-10-2022.

Whereas, the terms of your employment are in accordance with the mode of employment uniformly applicable to all the employees of the Company. As per the terms and conditions of the 1st appointment dt:-02-03-2007, your employment in the company is for a period of 3 years w.e.f 28-02-2007 which is renewed subsequently, prescribing the same period of employment.

Whereas, as per the orders dated 24.11.2016 and 17.09.2019 of the Hon'ble High Court of Telangana, your last renewal prior to termination order dated 24.01.2015 was upto 31.03.2015; subsequent renewal for three years would have been from 01.04.2015 to 31.03.2018 and thereafter from 01.04.2018 to 31.03.2021. Therefore, we are pleased to inform you that the present terms of your employment will be effective from 01.04.2021 to 31.03.2024; in terms of 1st appointment order.

.....

It is clearly understood and agreed that your employment is being made on contractual basis for a period of three (3) years or till you attain the age of sixty years (60) years, whichever is earlier. Your contractual employment will automatically come to an end on the expiry of the above specified period and no notice pay or retrenchment compensation will be payable to you, by the Company. Since your employment is being made for a specified period, you will neither have any right nor a lien on the job held by you. During the said period of three years, if you attain the age of 60 years, you shall immediately cease to be the employee of the Company

C. The relevant portion of the order of this Court, dated 24.11.2016 passed in W.P.No.4159 of 2015 is extracted hereunder:-

Though, initially the petitioner was appointed for a period of three years effective from 28.02.2007, in view of the letter dated 10.08.2007 stating that he would be retiring on attaining the age

of 58 years in accordance with rules and regulations of the second respondent company, it cannot be contended that the appointment of the petitioner is contractual. The services of the petitioner were extended from time to time with basic salary and usual allowances. Even as per the counter affidavit, the term of the petitioner comes to an end only on 31.03.2015 and the order of termination was passed much before that on 24.01.2015. In view of the subsequent correspondence after the initial letter of appointment this Court is of the opinion that the appointment of the petitioner is not contractual but a permanent employment.

The conduct, discipline and appeal rules of the second respondent company defines an "employee" as a person employed other than casual, work-charged or contingent staff but includes a person on deputation to the Indian Immunologicals Ltd. The petitioner, thus comes under the definition of the 'employee' and as a consequence, the procedure prescribed therein for imposing the major punishment of termination/removal from service has to be followed, if the services of the petitioner has to be terminated. On this count also the termination of the services of the petitioner is invalid.

Having come to such conclusion, it is clear that the termination of the services of the petitioner by letter dated 24.01.2015 without following any procedure is illegal and is accordingly set aside.

In view of holding the second respondent company as an authority amenable to the writ jurisdiction of this Court and the impugned letter of termination as illegal, the consequence would be to set aside the order of termination dated 24.01.2015 and the petitioner is deemed to have been continued in service with all pay and allowances attached to his post. The Writ Petition is accordingly allowed with costs of Rs.5,000/- (Rupees Five Thousand only) payable to the petitioner.

D. The relevant portion of the Division Bench judgment of this Court, dated 06.02.2017 passed in W.A.M.P.No.300 of 2017 in W.A.No.143 of 2017 is extracted hereunder:-

Sri Narendra Agarwal, respondent-party in person, would however draw our Attention to the proceedings dated 09.08.2013 which refers to the petitioner having been promoted as a Manager in Grade M-II, to submit that, as the contract of employment did not provide for promotion, the very fact that he was promoted shows that the appellant had always treated him as a regular employee.

The fact that the petitioner was promoted on 09.08.2013 as a Manager in Grade M-II is not in dispute. A perusal of the contract of the employment does not appear to provide for the promotion of the respondent. The submission of the respondent-party in person that, by the order of promotion, he was treated as a regular employee cannot be brushed aside. In any event, these are all matters which require to be examined during the hearing of the Writ Appeal. We see no reason, therefore, to stay the order of the learned Single Judge. Suffice it to make it clear that the order of the learned Single Judge, holding that the petitioner is deemed to be continued in service with all pay and allowances attached to thepost, shall be implemented subject however to the result of the Writ Appeal. Subject to the aforesaid observations, the WAMP is dismissed."

E. The relevant portion of the Division Bench judgment of this Court, dated 04.01.2021 passed in W.A.No.143 of 2017 in favour of the petitioner is extracted hereunder:-

37. Since in issue No.3 it is held that the petitioner is a permanent employee, the rules are required to be followed for the purpose of subjecting the petitioner to disciplinary proceedings. The judgments cited by the learned Senior Counsel would not come to the rescue of the respondent No.2 since the service of the petitioner is permanent in nature.

The Division Bench of this Court had clearly arrived at a finding that the petitioner is permanent employee and

that the rules are required to be followed for the purpose of subjecting the petitioner to the disciplinary proceed.

F. The Division Bench vide its order of this Court, dated 05.05.2021 passed in I.A.Nos.1 & 2 of 2021 in W.A.No.143 of 2021 dismissed the review application filed by the appellants seeking review of the Division Bench judgment of this Court, dated 04.01.2021 passed in W.A.No.143 of 2017 and upheld the order of this Court, dated 24.11.2016 passed in W.P.No.4159 of 2016 24.11.2016 passed in W.P.No.4159 of 2015 and the relevant portion of the said order, dated 05.05.2021 is extracted hereunder:-

14. Under the guise of a review application, the appellants are seeking a re-hearing of the appeal that has been dismissed on merits, which is impermissible. In the light of above discussion it cannot be urged that there is any patent error apparent on the face of the record or that the judgment passed, is based on a misconception or there is a mistake committed by the court in appreciation of the facts or the law. If the appellants are aggrieved by the said decision, they are well entitled to seek appropriate legal recourse. However, the grounds urged before this court do not entitle them to a review.

15. In view of the observations made above, the review application is found to be misconceived and devoid of merits and is accordingly dismissed with the pending application, with costs quantified at Rs. 10,000/- (Rupees Ten Thousand only), payable to respondent/party-in-person within a period of one week from today.

G. The Division Bench of the Apex Court, dated 19.09.2022 dismissed the SLP Nos. 8633-8635 of 2021 preferred by the Managing Director, Indian immunologicals Limited, Hyderabad &Others, which had filed against the order, dated 05.05.2021 passed in I.A.Nos.1 & 2 of 2021 in W.A.No.143 of 2021 and the said judgment is extracted hereunder:-

In view of the concurrent findings of fact, we are not inclined to entertain the present petitions. The Special Leave petitions are accordingly, dismissed. Pending application(s),if any, shall stand disposed of.

However, we make it clear that we have not considered the questions of law raised in these petitions. All the questions of law are kept open.

H. The party-in-person herein filed W.P.No.38211 of 2018 challenging the termination order, dated 11.10.2018 issued by the respondent No.1 to the party-in-person and the said writ petition was allowed on 17.09.2019 and the relevant portion of the said order, dated 11.10.2018 is extracted hereunder:-

12. Rule 31 of the CDA Rules details the exceptional circumstances in which the regular procedure prescribed in Rules 25, 26 and 27 could be dispensed with. In the instance case, clause (I) of Rule 31 of the CDA Rules is not applicable. The next issue is about the applicability of clauses (II) and (III) of Rule 31 of the CDA Rules. For applicability of clauses (II) and (III) of Rule 31 of the CDA Rules is concerned, the disciplinary authority must record reasons in writing that it is not reasonably practicable to hold an inquiry in the manner provided in the

Rules or where the disciplinary authority is satisfied that in the interest of security of the Indian Immunologicals Limited, it is not expedient to hold any inquiry in the manner provided in the Rules. A perusal of Rule 31 of CDA Rules makes it clear that the disciplinary authority must give reasons for not holding enquiry, and in the instant case, no such reasons are given and, by order dated 24.01.2015, the services of the petitioner were terminated with one month notice and the same was found fault by this Court in the earlier writ petition i.e., W.P.No.4159 of 2015.When one of the service conditions i.e., notice period of one month was changed to notice period of three months vide proceedings dated 24.04.2013 in respect of employees on contract service, the respondents ought to have followed the same, and more importantly when the respondents have initiated disciplinary proceedings in the form of issuing charge sheet and appointment of Inquiry Officer, they should have proceeded with the same, but they have abandoned the said disciplinary proceedings half way through and invoked Rule 31 of the CDA Rules. If the respondents were initially serious of invoking Rule 31 of the CDA Rules, at the first instance they ought not to have issued charge sheet on 28.09.2018 and after taking into consideration the explanation submitted by the petitioner on 08.10.2018 and after appointment of Inquiry Officer, the respondents cannot abandon the disciplinary proceedings half way through and terminate the services of the petitioner vide impugned termination order dated 11.10.2018 by invoking Rule 31 of CDA Rules. Therefore, the impugned termination order dated 11.10.2018 is liable to be set aside, as it was passed without following the provisions of Rule 31 of CDA Rules and also contrary to the changed service condition of the petitioner with regard to notice period i.e., three months' notice instead of one month notice.

13. Accordingly, the writ petition is allowed setting aside the impugned termination order dated 11.10.2018 and the respondents are directed to reinstate the petitioner into service with continuity of service and all consequential benefits. No order as to costs.

DISCUSSION AND CONCLUSION:-

5. <u>The learned party-in-person mainly puts forth the following submissions:</u>

a) The petitioner joined the 1st respondent company on 28.02.2007 as Manager (Grade-III) and, over the years, earned promotions and additional responsibilities in marketing, HR and training functions.

b) Later the petitioner was promoted to Grade-II in April 2013 and was entrusted with training responsibilities for the marketing workforce in April 2014.

c) Despite the petitioner's satisfactory service record and contributions to the organisation, the petitioner was abruptly shifted from petitioner's responsibilities in June 2014 and was thereafter subjected to hostile treatment, denial of legitimate benefits and adverse working conditions. Ultimately, petitioner's services were terminated on 24.01.2015 by invoking the notice clause in petitioner's appointment terms, compelling the petitioner to approach this Court by filing W.P. No.4159 of 2015.

d) Pursuant to the orders passed in W.P. No.4159 of 2015 and the interim orders in W.A. No.143 of 2017, the petitioner was reinstated in February 2017. However, the

reinstatement was not accompanied by restoration of petitioner's dues, benefits or status.

e) The petitioner was posted at *Karkapatla* in a role styled as *"Chief Training Manager"*, which allegedly did not exist in the organisational structure and was created only to demonstrate ostensible compliance with the Court's directions.

f) The petitioner was compelled to undertake extensive daily travel and was denied parity in pay fixation, increments and service benefits, forcing the petitioner to initiate contempt proceedings and further litigation for enforcement of the earlier orders.

g) Thereafter, on 03.09.2018, the petitioner was placed under suspension and, on 11.10.2018, petitioner's services were again terminated by invoking *Rule 31 of the Service Rules* on the ground of *"loss of confidence"*.

h) Challenging the said action, the petitioner had filed W.P. No.38211 of 2018 and this Court granted interim suspension of the termination order on 25.10.2018.

i) Subsequently, W.P. No.38211 of 2018 was allowed on 17.09.2019 directing reinstatement with continuity of service and consequential benefits. The respondents'

further appeal in W.A. No.763 of 2019 was dismissed on 25.02.2022. Meanwhile, W.A. No.143 of 2017 was dismissed on 04.01.2021 holding the 1st respondent to be *"State"* and recognising the petitioner as a permanent employee.

j) The review proceedings and Special Leave Petitions filed by the respondents were also dismissed, culminating in the petitioner's reinstatement in October 2022.

k) Even after the petitioner's reinstatement in October 2022, the respondents continued to act in a hostile and discriminatory manner. The reinstatement order was not issued in accordance with the spirit of the judicial directions, compelling the petitioner to initiate fresh contempt proceedings.

l) The petitioner was prevented from meeting the Managing Director, denied access to the Head Office, compelled to collect reinstatement-related documents from *Karkapatla* and was subjected to adverse treatment regarding petitioner's duties and reporting structure. The petitioner's salary, increments, performance pay and other service benefits remained frozen from 2013 onwards, despite the

Court having granted continuity of service and consequential benefits.

m) In the year 2023,the petitioner was awarded an adverse Development and Role Effectiveness (DRE) rating of "2" out of "5" without justification, which adversely affected his annual increment and performance-linked benefits. Repeated representations seeking reassessment of the rating, revision of pay fixation, restoration of service benefits and fair utilisation of his experience were ignored by the respondents.

n) In November 2023,the petitioner was denied entry into the Head Office premises despite prior intimation, and that petitioner's requests for interaction with senior management and redressal of grievances received no response. Respondents are further tampering with petitioner's personal employment records, pay slips and other documents available on the company intranet and claims that petitioner's complaints regarding the same were not acted upon.

o) The present writ petition arises out of the impugned proceedings vide *Letter No. IIL:HR:2024 dated 29.03.2024*

whereby the petitioner's services were once again brought to an end under the guise of a "Discharge Letter".

p) The impugned action constitutes a third illegal termination, despite earlier judicial findings recognising petitioner's status as a permanent employee and despite successive orders directing reinstatement.

q) The respondents falsely relied upon a purported contractual arrangement for the period April 2021 to March 2024, though no such contract was ever executed by the petitioner. The impugned order was issued without jurisdiction by an authority not competent to remove an employee of his rank and that the action is arbitrary, mala fide, violative of Articles 14, 16 and 21 of the Constitution of India, and contrary to the binding judgments rendered in the earlier rounds of litigation.

Based on the aforesaid submissions, the learned party-in-person contends that discharge order dated 29.03.2024 needs to be quashed and be reinstated with continuity of service and consequential benefits.

6. The learned senior designated counsel appearing on behalf of the Respondent Nos. 1 to 6 mainly puts forth the following submissions:

a) The present writ petition is misconceived and founded on unsubstantiated allegations. All actions were taken strictly in accordance with the rules, policies and practices of Indian Immunologicals Limited (IIL) and there is no mala fides, harassment, discrimination, abuse of authority and non-compliance with judicial orders.

b) The petitioner had already raised substantially similar grievances in several earlier proceedings, including *W.P. No. 4159 of 2015, W.A. No. 143 of 2017, W.P. No. 38211 of 2018, W.A. No. 763 of 2019, W.P. No. 40011 of 2017 and Contempt Case No. 1946 of 2023,* which are either pending or have been adjudicated, and therefore the present writ petition is liable to be examined in that background.

c) The petitioner had suppressed the material facts, with regard to the *FIR No. 55 of 2018 dated 09.10.2018* registered at *Markook Police Station* under Sections 381 and 427 IPC relating to alleged theft of confidential company documents. The charge sheet with regard to the said crime was filed on 21.02.2022 and criminal proceedings are pending against the petitioner.

d) The petitioner herein had unsuccessfully challenged the criminal proceedings in *Crl.P. No. 8492 of 2022*. By order dated 22.12.2022, this Court declined to quash the offence under Section 381 IPC, observing that the allegations required trial. The petitioner's *SLP (Crl.) No. 2680 of 2023* was dismissed by the Supreme Court on 03.03.2023, and petitioner's discharge petition was also rejected on 11.03.2024.

e) The petitioner had acted as Managing Director of M/s Chemcare Lifesciences Private Limited between 01.06.2016 and 03.10.2019 while remaining on the rolls of IIL, contrary to *Clauses 15 and 16 of petitioner's appointment letter dated 02.03.2007.* This fact was deliberately concealed from various courts in earlier rounds of litigation.

f) The petitioner's appointment under letter dated 02.03.2007 was for a fixed term of three years and was subsequently renewed from time to time. All the employees of IIL, including senior management personnel, are appointed on renewable fixed-term contracts of three years, and no employee serves till superannuation without periodic renewal.

g) The judgments dated 24.11.2016 in W.P. No. 4159 of 2015 and 04.01.2021 in W.A. No. 143 of 2017 describing the petitioner as a "permanent employee" were only for determining the applicability of the *Conduct, Discipline and Appeal Rules* and distinguishing him from casual or outsourced personnel, and did not confer permanent tenure till superannuation.

h) After dismissal of the appeals and SLPs, the petitioner was reinstated pursuant to orders dated 03.10.2022 and 14.11.2022. In terms of the service policy, petitioner's employment stood notionally renewed for the periods 01.04.2015 to 31.03.2018, 01.04.2018 to 31.03.2021 and 01.04.2021 to 31.03.2024.

i) The impugned discharge letter dated 29.03.2024 was not a termination on grounds of misconduct but a discharge consequent upon expiry of the petitioner's contractual term on 31.03.2024. Reliance was placed on *Rule 24(5) of the CDA Rules, 1999* and *Clause 7 of the CDA Rules, 2019,* which provide for fixed-term employment.

j) The petitioner has already been paid substantial amounts pursuant to earlier court orders, including salary arrears,

leave encashment and tax-related benefits. All the petitioner's allegations with regard to the denial-of-service benefits, hostile treatment, manipulation of records and lack of authority of the Vice-President (HR) to issue the discharge letter is not tenable.

Based on the aforesaid submissions, the learned senior designated counsel appearing on behalf of the respondents contends that the present writ petition needs to be dismissed in limine.

7. It is the specific case of the party-in-person that the impugned order of the termination dated 29.03.2024, vide Letter No. IIL:HR:2024, issued by Respondent No. 3 against the party-in-person under the garb of a discharge letter, is illegal, arbitrary, without authority, power or jurisdiction, and the same is in clear violation of the principles of natural justice. The impugned action was taken with a *mala fide* intention to harass the petitioner for having approached this Court through various writ petitions against the Respondent Authority since the year 2015 and further the petitioner is not a contractual

employee but a permanent employee of the respondent Company.

8. The learned Senior Designated Counsel appearing on behalf of the respondents on the other hand contends that the petitioner admittedly had been issued proceedings dated 14.11.2022 containing specific terms and conditions of employment. The said proceedings clearly indicated that the employment of the petitioner would be effective from 01.04.2021 to 31.03.2024. Clause 7 of the terms of employment expressly provided that the petitioner is being engaged on a contractual basis for a period of three years or till the petitioner attains the age of 60 years, whichever is earlier. The said Clause 7 further stipulated that the contractual employment would automatically come to an end upon expiry of the specified three years period without any notice, notice pay or retrenchment compensation. Since the said employment is being made for a specified term, the petitioner would not have any right or lien over the post held by the petitioner.

9. The learned Senior Designated Counsel appearing on behalf of the respondents further contends that, having accepted the terms and conditions as indicated in the

proceedings dated 14.11.2022, the petitioner cannot now claim any right contrary thereto. Therefore, the order impugned dated 29.03.2024 does not suffer from any illegality warranting interference by this Court and that the present writ petition needs to be dismissed.

10. The specific case of the petitioner is that the petitioner is a permanent employee of the Respondent Company and, therefore, the services of the petitioner would come to an end only upon the petitioner, attaining the age of superannuation. The petitioner is due to retire on 30.09.2028. Therefore, the order impugned dated 29.03.2024, though styled as a discharge order, is in substance yet another example of a colourable exercise of power resorted to by the respondents herein for extraneous reasons and in disregard of the judgments passed in favour of the petitioner in W.P. No. 4159 of 2015 and W.A. No. 143 of 2017.

11. A bare perusal of the observations in the judgment dated 24.11.2016 passed in W.P. No. 4159 of 2015, which had been confirmed by the Division Bench in its judgment dated 04.01.2021 in W.A. No. 143 of 2017 and thereafter attained finality vide the order of the Apex Court dated

19.09.2022 passed in SLP (C) No. 8633-8635 of 2021, **indicates that this Court had held that the petitioner's employment was not contractual in nature but permanent. The Division Bench, in particular at paragraph No. 37 of its judgment dated 04.01.2021(referred to and extracted above), observed that the petitioner is a permanent employee and that the applicable service rules are required to be followed before subjecting the petitioner to any disciplinary proceedings. The said finding has attained finality and is binding on the parties.**

12. This Court opines that the order impugned is contrary to the specific findings recorded in the judgments rendered in favour of the petitioner, which had attained its finality. Similar observations were also made by the Division Bench in its judgment dated 25.02.2022 in W.A. No. 763 of 2019, affirming the order passed in W.P. No. 38211 of 2018.

13. This Court also takes note of the averments made in the counter affidavit filed by Respondent Nos. 1 to 6, wherein reference has been made to the alleged suppression of material facts by the petitioner, petitioner's involvement in Crime No. 55 of 2018, the

filing of a charge sheet dated 21.02.2022 and allegations relating to theft of documents belonging to the Respondent Company. This Court further opines that, it is clearly not in dispute that the petitioner was never put on any notice with respect of any of the aforesaid allegations prior to the issuance of the impugned order. Similarly, allegations relating to the petitioner's alleged involvement in criminal proceedings, alleged theft of company documents, and petitioner's alleged role as Managing Director of M/s Chemcare Lifesciences Private Limited between 01.06.2016 and 03.10.2019 were never made the subject matter of any proceedings preceding the impugned action.

14. This Court opines that the aforesaid allegations appear to be an afterthought introduced only to improve the case of the respondents. The Division Bench, in its judgment dated 25.02.2022 in W.A. No. 763 of 2019, had already observed that the allegations against the petitioner appeared to be evolving and improving from stage to stage. The said allegations are yet to be established in accordance with law. The respondents cannot prejudge the culpability of an employee without

affording the employee an opportunity of personal hearing to put the employee's case and without following the procedure prescribed by law, in particular when the employee was held to be a permanent employee.

15. This Court, taking note of the fact that the petitioner is due to retire on attaining the age of superannuation on 30.09.2028, opines that the petitioner is being subjected to repeated litigation and hardship at the fag end of petitioner's service and the sequence of actions taken by the respondents clearly indicates vindictiveness and victimization of the petitioner herein.

16. This Court further takes note of the fact that the order impugned dated 29.03.2024 refer to the appointment proceedings dated 14.11.2022 issued to the petitioner herein. The said proceedings dated 14.11.2022 acknowledge that the petitioner has been serving the Respondent Company since 28.02.2007. Though the plea of the respondents as borne on record is that appointments were being issued for a period of three years and renewed from time to time, the undisputed fact remains that the petitioner has continuously served the Respondent Company since 28.02.2007. Therefore, this

court opines that the respondents cannot unilaterally terminate services of the petitioner under the garb of a discharge letter merely by relying upon the terms and conditions contained in the order of appointment dated 14.11.2022 issued to the petitioner herein.

17. The Apex Court in its recent catena of judgments dealing with cases of contract employees held as under:-

A. The Judgment of the Apex Court dated 31.01.2025 reported in 2025 INSC 144 in "SHRIPAL AND ANOTHER v. NAGAR NIGAM, GHAZIABAD", in particular, the relevant para Nos.15 to 19 are extracted hereunder:

> **"15. It is manifest that the Appellant Workmen continuously rendered their services over several years, sometimes spanning more than a decade. Even if certain muster rolls were not produced in full, the Employer's failure to furnish such records—despite directions to do so—allows an adverse inference under well-established labour jurisprudence. Indian labour law strongly disfavors perpetual daily-wage or contractual engagements in circumstances where the work is permanent in nature. Morally and legally, workers who fulfil ongoing municipal requirements year after year cannot be dismissed summarily as dispensable, particularly in the absence of a genuine contractor agreement.** At this juncture, it would be appropriate to recall the broader critique of indefinite "temporary" employment practices as done by a recent judgement of this court **in Jaggo v. Union of India in the following paragraphs:**
>
> > "22. The pervasive misuse of temporary employment contracts, as exemplified in this case, reflects a

broader systemic issue that adversely affects workers' rights and job security. In the private sector, the rise of the gig economy has led to an increase in precarious employment arrangements, often characterized by lack of benefits, job security, and fair treatment. Such practices have been criticized for exploiting workers and undermining labour standards. Government institutions, entrusted with upholding the principles of fairness and justice, bear an even greater responsibility to avoid such exploitative employment practices. When public sector entities engage in misuse of temporary contracts, it not only mirrors the detrimental trends observed in the gig economy but also sets a concerning precedent that can erode public trust in governmental operations.

.....

25. It is a disconcerting reality that temporary employees, particularly in government institutions, often face multifaceted forms of exploitation. While the foundational purpose of temporary contracts may have been to address short-term or seasonal needs, they have increasingly become a mechanism to 2024 SCC OnLine SC 3826 evade long-term obligations owed to employees. These practices manifest in several ways:

• Misuse of "Temporary" Labels: Employees engaged for work that is essential, recurring, and integral to the functioning of an institution are often labelled as "temporary" or "contractual," even when their roles mirror those of regular employees. Such misclassification deprives workers of the dignity, security, and benefits that regular employees are entitled to, despite performing identical tasks.

• Arbitrary Termination: Temporary employees are frequently dismissed without cause or notice, as seen in the present case. This practice undermines the principles of natural justice and subjects workers to a state of constant insecurity, regardless of the quality or duration of their service. • Lack of Career

Progression: Temporary employees often find themselves excluded from opportunities for skill development, promotions, or incremental pay raises. They remain stagnant in their roles, creating a systemic disparity between them and their regular counterparts, despite their contributions being equally significant.

• Using Outsourcing as a Shield: Institutions increasingly resort to outsourcing roles performed by temporary employees, effectively replacing one set of exploited workers with another. This practice not only perpetuates exploitation but also demonstrates a deliberate effort to bypass the obligation to offer regular employment.

• Denial of Basic Rights and Benefits: Temporary employees are often denied fundamental benefits such as pension, provident fund, health insurance, and paid leave, even when their tenure spans decades. This lack of social security subjects them and their families to undue hardship, especially in cases of illness, retirement, or unforeseen circumstances."

16. The High Court did acknowledge the Employer's inability to justify these abrupt terminations. Consequently, it ordered re-engagement on daily wages with some measure of parity in minimum pay. Regrettably, this only perpetuated precariousness: the Appellant Workmen were left in a marginally improved yet still uncertain status. While the High Court recognized the importance of their work and hinted at eventual regularization, it failed to afford them continuity of service or meaningful back wages commensurate with the degree of statutory violation evident on record.

17. In light of these considerations, the Employer's discontinuation of the Appellant Workmen stands in violation of the most basic labour law principles. Once it is established that their services were terminated without adhering to Sections 6E and 6N of the U.P. Industrial Disputes Act, 1947, and that **they were engaged in essential, perennial duties, these workers cannot be**

relegated to perpetual uncertainty. While concerns of municipal budget and compliance with recruitment rules merit consideration, such concerns do not absolve the Employer of statutory obligations or negate equitable entitlements. Indeed, bureaucratic limitations cannot trump the legitimate rights of workmen who have served continuously in de facto regular roles for an extended period.

18. The impugned order of the High Court, to the extent they confine the Appellant Workmen to future daily-wage engagement without continuity or meaningful back wages, is hereby set aside with the following directions:

I. The discontinuation of the Appellant Workmen's services, effected without compliance with Section 6E and Section 6N of the U.P. Industrial Disputes Act, 1947, is declared illegal. All orders or communications terminating their services are quashed. In consequence, the Appellant Workmen shall be treated as continuing in service from the date of their termination, for all purposes, including seniority and continuity in service.

II. The Respondent Employer shall reinstate the Appellant Workmen in their respective posts (or posts akin to the duties they previously performed) within four weeks from the date of this judgment.**Their entire period of absence (from the date of termination until actual reinstatement) shall be counted for continuity of service and all consequential benefits, such as seniority and eligibility for promotions, if any.**

III. Considering the length of service, the Appellant Workmen shall be entitled to 50% of the back wages from the date of their discontinuation until their actual reinstatement. The Respondent Employer shall clear the aforesaid dues within three months from the date of their reinstatement.

IV. The Respondent Employer is directed to initiate a fair and transparent process for regularizing the Appellant Workmen within six months from the date of reinstatement, duly considering the fact that they have performed perennial municipal duties akin to permanent posts. In assessing regularization, the Employer shall not impose educational or procedural criteria retroactively if such requirements were never applied to the Appellant Workmen or to similarly situated regular employees in the past. To the extent that sanctioned vacancies for such duties exist or are required, the Respondent Employer shall expedite all necessary administrative processes to ensure these longtime employees are not indefinitely retained on daily wages contrary to statutory and equitable norms.

19.In view of the above, the appeal(s) filed by the workmen are allowed, whereas the appeal(s) filed by the Nagar Nigam Ghaziabad are dismissed."

B. The judgment of the Apex Court dated 20.12.2024, reported in 2024 LawSuit(SC) 1209 in Jaggo Anita and others v. Union of India and others, and the relevant paragraph Nos.12, 13, 24, 26, 27 and 28 are extracted hereunder:

"12. Despite being labelled as "part-time workers," the appellants performed these essential tasks on a daily and continuous basis over extensive periods, ranging from over a decade to nearly two decades. Their engagement was not sporadic or temporary in nature, instead, it was recurrent, regular, and akin to the responsibilities typically

associated with sanctioned posts. Moreover, the respondents did not engage any other personnel for these tasks during the appellants tenure, underscoring the indispensable nature of their work.

13. The claim by the respondents that these were not regular posts lacks merit, as the nature of the work performed by the appellants was perennial and fundamental to the functioning of the offices. The recurring nature of these duties necessitates their classification as regular posts, irrespective of how their initial engagements were labelled. It is also noteworthy that subsequent outsourcing of these same tasks to private agencies after the appellants' termination demonstrates the inherent need for these services. This act of outsourcing, which effectively replaced one set of workers with another further underscores that the work in question was neither temporary nor occasional.

24. The landmark judgment of the United State in the case of Vizcaino v Microsoft Corporation [97 F.3d 1187 (9th Cir. 1996)] serves as a pertinent example from the private sector, illustrating the consequences of misclassifying employees to circumvent providing benefits. In this case, Microsoft classified certain workers as independent contractors, thereby denying them employee benefits. The U.S. Court of Appeals for the Ninth Circuit determined that these workers were, in fact, common-law employees and were entitled to the same benefits as regular employees. The Court noted that large Corporations have increasingly adopted the practice of hiring temporary employees or independent contractors as a means of avoiding payment of employee benefits, thereby increasing their profits. This judgment underscores the principle that the nature of the work performed, rather than the label assigned to the worker, should determine employment status and the corresponding rights and benefits. **It highlights the judiciary's role in rectifying**

such misclassifications and ensuring that workers receive fair treatment.

26. While the judgment in Uma Devi (supra) sought to curtail the practice of backdoor entries and ensure appointments adhered to constitutional principles, it is regrettable that its principles are often misinterpreted or misapplied to deny legitimate claims of long serving employees. This judgment aimed to distinguish between "illegal" and "irregular" appointments. **It categorically held that employees in irregular appointments, who were engaged in duly sanctioned posts and had served continuously for more than ten years should be considered for regularization as a one-time measure.**However, the laudable intent of the judgment is being subverted when institutions rely on its dicta to indiscriminately reject the claims of employees, even in cases where their appointments are not illegal, but merely lack adherence to procedural formalities. Government departments often cite the judgment in Uma Devi (supra) to argue that no vested right to regularization exists for temporary employees, overlooking the judgment's explicit acknowledgment of cases where regularization is appropriate. **This selective application distorts the judgment's spirit and purpose, effectively weaponizing it against employees who have rendered indispensable services over decades.**

27.In light of these considerations, in our opinion, it is imperative for government departments to lead by example in providing fair and stable employment. Engaging workers on a temporary basis for extended periods, especially when their roles are integral to the organization's functioning, not only contravenes international labour standards but also exposes the organization to legal challenges and **undermines employee morale. By ensuring fair employment practices, government institutions can reduce**

the burden of unnecessary litigation, promote job security, and uphold the principles of justice and fairness that they are meant to embody. This approach aligns with international standards and sets a positive precedent for the private sector to follow, thereby contributing to the overall betterment of labour practices in the country.

28.In view of the above discussion and findings, the appeals are allowed. The impugned orders passed by the High Court and the Tribunal are set aside and the original application is allowed to the following extent:

i. The termination orders dated 27.10.2018 are quashed;

ii. **The appellants shall be taken back on duty forthwith and their services regularised forthwith. However, the appellants shall not be entitled to any pecuniary benefits/back wages for the period they have not worked for but would be entitled to continuity of services for the said period and the same would be counted for their post-retiral benefits."**

C. The Judgment of the Apex Court dated 19.08.2025 passed in Civil Appeal No.8558 of 2018 reported in 2025 SCC ONLINE SC 1735 in "Dharam Singh and Others v. State of U.P. and Another", in particular, the relevant para Nos.13, 17, 18, 19 and 20 are extracted hereunder:

"13. As we have observed in both Jaggo (Supra) and Shripal (Supra), outsourcing cannot become a convenient shield to perpetuate precariousness and to sidestep fair engagement practices where the work is

inherently perennial. The Commission's further contention that the appellants are not "full-time" employees but continue only by virtue of interim orders also does not advance their case. That interim protection was granted precisely because of the long history of engagement and the pendency of the challenge to the State's refusals. It neither creates rights that did not exist nor erases entitlements that may arise upon a proper adjudication of the legality of those refusals.

17. Before concluding, we think it necessary to recall that the State (here referring to both the Union and the State governments) is not a mere market participant but a constitutional employer. It cannot balance budgets on the backs of those who perform the most basic and recurring public functions. Where work recurs day after day and year after year, the establishment must reflect that reality in its sanctioned strength and engagement practices. The long term extraction of regular labour under temporary labels corrodes confidence in public administration and offends the promise of equal protection. Financial stringency certainly has a place in public policy, but it is not a talisman that overrides fairness, reason and the duty to organise work on lawful lines.

18. Moreover, it must necessarily be noted that "ad-hocism" thrives where administration is opaque. The State Departments must keep and produce accurate establishment registers, muster rolls and outsourcing arrangements, and they must explain, with evidence, why they prefer precarious engagement over sanctioned posts where the work is perennial. If "constraint" is invoked, the record should show what alternatives were considered, why similarly placed workers were treated differently, and how the chosen course aligns with Articles 14, 16 and 21 of the Constitution of India. Sensitivity to the human consequences of prolonged insecurity is not sentimentality. It is a constitutional discipline that should inform every decision affecting those who keep public offices running.

"19. Having regard to the long, undisputed service of the appellants, the admitted perennial nature of their duties, and the material indicating vacancies and comparator regularisations, we issue the following directions:

i. Regularization and creation of Supernumerary posts:All appellants shall stand regularized with effect from 24.04.2002, the date on which the High Court directed a fresh recommendation by the Commission and a fresh decision by the State on sanctioning posts for the appellants. For this purpose, the State and the successor establishment (U.P. Education Services Selection Commission) shall create supernumerary posts in the corresponding cadres, Class-III (Driver or equivalent) and Class-IV (Peon/Attendant/Guard or equivalent) without any caveats or preconditions. On regularization, each appellant shall be placed at not less than the minimum of the regular pay-scale for the post, with protection of last-drawn wages if higher and the appellants shall be entitled to the subsequent increments in the pay scale as per the pay grade. For seniority and promotion, service shall count from the date of regularization as given above.

ii. Financial consequences and arrears: Each appellant shall be paid as arrears the full difference between (a) the pay and admissible allowances at the minimum of the regular pay-level for the post from time to time, and (b) the amounts actually paid, for the period from 24.04.2002 until the date of regularization/retirement/death, as the case may be. Amounts already paid under previous interim directions shall be so adjusted. The net arrears shall be released within three months and if in default, the unpaid amount shall carry compound interest at 6% per annum from the date of default until payment.

iii. Retired appellants: Any appellant who has already retired shall be granted regularization with effect from 24.04.2002 until the date of superannuation for pay fixation, arrears under clause (ii), and recalculation of pension, gratuity and other terminal dues. The revised pension and terminal dues shall be paid within three months of this Judgment.

iv. Deceased appellants: In the case of Appellant No. 5 and any other appellant who has died during pendency, his/her legal representatives on record shall be paid the arrears under clause (ii) up to the date of death, together with all terminal/retiral dues recalculated consistently with clause (i), within three months of this Judgment.

v. Compliance affidavit: The Principal Secretary, Higher Education Department, Government of Uttar Pradesh, or the Secretary of the U.P. Education Services Selection Commission or the prevalent competent authority, shall file an affidavit of compliance before this Court within four months of this Judgment.

20. We have framed these directions comprehensively because, case after case, orders of this Court in such matters have been met with fresh technicalities, rolling "reconsiderations," and administrative drift which further prolongs the insecurity for those who have already laboured for years on daily wages. Therefore, we have learned that Justice in such cases cannot rest on simpliciter directions, but it demands imposition of clear duties, fixed timelines, and verifiable compliance. As a constitutional employer, the State is held to a higher standard and therefore it must organise its perennial workers on a sanctioned footing, create a budget for lawful engagement, and implement judicial directions in letter and spirit. Delay to follow these obligations is not mere negligence but rather it is a conscious method of denial that erodes livelihoods and dignity for these workers. The operative scheme we have set here comprising of creation of supernumerary posts, full regularization, subsequent financial benefits, and a sworn affidavit of compliance, is therefore a pathway designed toconvert rights into outcomes and to reaffirm that fairness in engagement and transparency in administration are not matters of grace, but obligations under Articles 14, 16 and 21 of the Constitution of India

D. The Apex Court in the recent judgment pertaining to the subject issue, dated 13.02.2026 reported in 2026

LiveLaW (SC) 159 in Pawan Kumar and Others Vs. Union Of India & Others in SLP(C) No.29214 of 2019 in particular at para Nos.9 to 11 are observed as under:-

9. Besides the aforesaid aspects, we find that the law laid down by this Court in Jaggo (supra) supports the case of the appellants in their prayer for regularization. In paragraphs 13, 20, 21 and 26, it has been held as under:

"13. The claim by the respondents that these were not regular posts lacks merit, as the nature of the work performed by the appellants was perennial and fundamental to the functioning of the offices. The recurring nature of these duties necessitates their classification as regular posts, irrespective of how their initial engagements were labelled. It is also noteworthy that subsequent outsourcing of these same tasks to private agencies after the appellants' termination demonstrates the inherent need for these services. This act of outsourcing, which effectively replaced one set of workers with another, further underscores that the work in question was neither temporary nor occasional.

20. It is well established that the decision in Uma Devi (supra) does not intend to penalize employees who have rendered long years of service fulfilling ongoing and necessary functions of the State or its instrumentalities. The said judgment sought to prevent backdoor entries and illegal appointments that circumvent constitutional requirements. However, where appointments were not illegal but possibly "irregular," and where employees had served continuously against the backdrop of sanctioned functions for a considerable period, the need for a fair and humane resolution becomes paramount. Prolonged, continuous, and unblemished service performing tasks inherently required on a regular basis can, over the time, transform what was initially ad-hoc or temporary into a scenario demanding fair regularization. In a recent judgement of this Court in Vinod Kumar and Ors. Etc. Vs. Union of India & Ors. 5, **it was held that held that procedural formalities cannot be used to deny regularization of service to an employee whose appointment was termed "temporary" but has performed the same duties as performed by the regular employee over a considerable period in the capacity of the regular employee**. The relevant paras of this judgement have been reproduced below:

"6. The application of the judgment in Uma Devi (supra) by the High Court does not fit squarely with the facts at hand, given the specific circumstances under which the appellants were employed and have continued their service. The reliance on procedural formalities at the

outset cannot be used to perpetually deny substantive rights that have accrued over a considerable period through continuous service. Their promotion was based on a specific notification for vacancies and a subsequent circular, followed by a selection process involving written tests and interviews, which distinguishes their case from the appointments through back door entry as discussed in the case of Uma Devi (supra). 7. The judgement in the case Uma Devi (supra) also distinguished between "irregular" and "illegal" appointments underscoring the importance of considering certain appointments even if were not made strictly in accordance with the prescribed Rules and Procedure, cannot be said to have been made illegally if they had followed the procedures of regular appointments such as conduct of written examinations or interviews as in the present case..."

21. The High Court placed undue emphasis on the initial label of the appellants' engagements and the outsourcing decision taken after their dismissal. **Courts must look beyond the surface labels and consider the realities of employment: continuous, long-term service, indispensable duties, and absence of any mala fide or illegalities in their appointments.** In that light, refusing regularization simply because their original terms did not explicitly state so, or because an outsourcing policy was belatedly introduced, would be contrary to principles of fairness and equity.

26. While the judgment in Uma Devi (supra) sought to curtail the practice of backdoor entries and ensure appointments adhered to constitutional principles, it is regrettable that its principles are often misinterpreted or misapplied to deny legitimate claims of long serving employees. This judgment aimed to distinguish between "illegal" and "irregular" appointments. It categorically held that employees in irregular appointments, who were engaged in duly sanctioned posts and had served continuously for more than ten years, should be considered for regularization as a one-time measure. However, the laudable intent of the judgment is being subverted when institutions rely on its dicta to indiscriminately reject the claims of employees, even in cases where their appointments are not illegal, but merely lack adherence to procedural formalities. Government departments often cite the judgment in Uma Devi (supra) to argue that no vested right to regularization exists for temporary employees, overlooking the judgment's explicit acknowledgment of cases where regularization is appropriate. This selective application distorts the judgment's spirit and purpose, effectively weaponizing it against employees who have rendered indispensable services over decades."

10. The aforesaid observations are sufficient to hold that the Tribunal was not justified in denying relief to the appellants by relying upon the decision in Umadevi (3) and Ors. (supra). The High Court also erred in affirming the decision of the Tribunal. The appellants are entitled to

similar reliefs as granted by this Court in Ravi Verma and Ors. (supra) as well as in Raman Kumar and Ors. (supra).

11. For all the aforesaid reasons, the judgment of the High Court dated 26.08.2019 in M.P. No.3460/2018 is set aside. The services of the appellants be regularized from 01.07.2006 on the same terms as made applicable in Ravi Verma and Ors. (supra) as well as in Raman Kumar and Ors. (supra). The benefits be released in favour of the appellants within a period of three months from today.

E. The judgment of the Apex Court in Hari Krishna Mandir Trust V. State of Maharashtra and Others reported in AIR 2020 Supreme Court 3969 and in particular at para Nos.100 and 101, it is observed as follows:

> "100. The High Courts exercising their jurisdiction under Article 226 of the Constitution of India, not only have the power to issue a writ of mandamus or in the nature of mandamus,**but are duty-bound to exercise such power, where the Government or a public authority has failed to exercise or has wrongly exercised discretion conferred upon it by a statute, or a rule, or a policy decision of the Government or has exercised such discretion mala fide, or on irrelevant consideration.**
>
> 101. In all such cases, the High Court must issue a writ of mandamus and give directions to compel performance in an appropriate and lawful manner of the discretion conferred upon the Government or a public authority."

18. All the observations in the aforesaid judgments clearly indicates that the respondent Corporation had failed to discharge its duty and hence, to compel performance in an appropriate and lawful manner of the

discretion conferred upon the respondent Corporation, the petitioner is entitled for grant of relief in petitioner's favour. This Court opines that the respondent Corporation failed to uphold the principles of justice and fairness that the respondent Corporation meant to embody and the order impugned admittedly is clear example of colourable exercise of power by the respondent Authority more so when petitioner had been promoted as Manager in Grade M-II, vide proceedings, dated 09.08.2013 indicating that the petitioner is a regular employee and not a Contract employee as projected by the respondents herein.

19. The Apex Court, in a catena of judgments (referred to and extracted above), consistently held that even contractual employees are entitled to protection against arbitrary action by instrumentalities of the State. This Court opines that the respondent Corporation, having been held to be "State" within the meaning of Article 12 of the Constitution of India and being engaged in the discharge of public functions, is expected to act fairly, reasonably and in accordance with law.

20. The relevant portion of the Division Bench Judgment of this Court, dated 25.02.2022 passed in W.A. No. 763 of

2019 in favour of the petitioner, in particular, Para Nos.22 to 30 and 45, is extracted hereunder:

22. The prayer in the writ petition reads as under:-
"In the above circumstances, it is therefore prayed that this Hon'ble Court may be pleased to issue an appropriate Writ, Order, or Direction, more particularly one in the nature of writ of mandamus declaring the termination order 11th October, 2018 issued by the respondent no.1 as mala fide and illegal and pass such other order or orders in the interest of justice."

(Emphasis supplied)

23. By this prayer, petitioner sought to declare the order of termination as mala fide and illegal. He sought far wider relief leaving it to the Court to issue appropriate writ. He prayed to issue appropriate writ, order or direction and incidentally also prayed to issue writ of mandamus. Thus, considering the submission of learned senior counsel with all seriousness, it cannot be said that petitioner has sought only a particular relief. Even otherwise, Court is not precluded from issuing appropriate order or direction and/or writ as deemed fit in the cause of justice. Its power to issue appropriate writ, order or direction is not constrained by framing of the prayer when in substance the court is convinced of injustice caused to the petitioner.

24. A permanent employee of IIL is entitled to continue in service until he attains age of superannuation. Employer can dispense with services of permanent employee before he attains the age of superannuation, either in the form of disciplinary action or on account of reduction in establishment. As an employee of first appellant, the first respondent is governed by the discipline and appeal rules. The rules vest right in the first respondent requiring his employer to follow due process of law before taking disciplinary action and dispensing with his services. If the employer intend to dispense with services of employee on the ground of misconduct, it is mandatory for the employer to follow procedure envisaged in the rules governing the service. As dispensing with the services of employee would result in penal consequences, no such decision can be taken without following due process of law. An aggrieved employee can seek enforcement of his right to follow due process of law before taking disciplinary action against him by availing the remedy under Article 226 of the Constitution of India before this Court.

25. The services of first respondent were terminated by taking recourse to Rule 31. As noticed in the second issue, this Rule has no application. It thus, amounts illegal exercise of power. By such illegal decision, the petitioner's right to continue in service till he attains age of superannuation is abruptly curtailed. It has civil and evil consequences. In exercise of power of judicial review, the writ Court can correct the authority exceeding its jurisdiction and competence and mandate him to act in accordance with law. Having noticed that grave illegality is committed to wield power of termination, Court cannot tie itself in knots on technicalities to rescue the victim from palpable illegal course adopted by the employer.

26. Further, as observed by the Hon'ble Supreme Court in Bandhuva Mukti Morcha (supra), when one of the parties to litigation is weak as compared to the other side, the court must reach out to him as a friend in need of justice. Here an employee is prosecuting his grievance in person pitted against mighty employer. He cannot be expected to have same amount of legal acumen. Once the High Court is satisfied that injustice is caused to the petitioner and his grievance has to be remedied, it must reach out to him and undo the injustice. Once the Court is convinced of the injustice, the construction and form of the prayer cannot come in the way to render justice. Form and texture cannot over shadow the substance.

27. At this stage, the Court is reminded of the observations made by the Hon'ble Supreme Court in P.J.Irani Vs. State of Madras and another. Hon'ble Supreme Court said,

"15..... Particularly so when the power of the High Court under Article 226 of the Constitution is not limited to the issue of writs falling under particular groupings, such as the certiorari, mandamus etc. as these writs have been understood in England, but the power is general to issue any direction to the authorities viz. for enforcement of fundamental rights as well as for other purposes."

28. As observed by the Hon'ble Supreme Court in Bandhua Mukti Morcha (supra) and in Elephant G.Rajendran (supra), the Court must forge new tools, devise new methods, and adopt new strategies to achieve constitutional objectives and to reach out to the person in distress by extending its long arm of justice. As a sentry endowed with power to guard against violation of a right of a person knocking the doors of the High Court, the High Court cannot entangle itself in the web of procedural defects to do substantive justice. Such course is anti-thesis to the constitutional scheme and

defeats the very objective of wide powers conferred on the High Court by Article 226 of the Constitution of India.

29. For all the aforesaid reasons, we are not persuaded to fall in line with the submissions of learned senior counsel. This issue is held against the appellants.

2nd issue:

30. First respondent was terminated from service by order dated 24.1.2015 invoking clause-18 of the appointment letter dated 02.03.2007 with one month basic pay. Clause-18 of the initial appointment letter vests power in the Management to terminate the services of a contract employee. This clause was invoked treating the first petitioner as contract employee. In W.P.No.4159 of 2015, the order of termination was set aside, affirmed by the Division Bench. Learned single Judge as well as Division Bench has given clear finding that the first respondent is a regular employee and is governed by the service rules notified by the first appellant and employer cannot resort to termination by referring to a term of initial appointment.

.....

45. Having regard to the purport and scope of Rules 24, 26 and 27, Rule 31 is not attracted to the case on hand. Therefore, termination of service of first respondent is ex facie illegal, without power and jurisdiction. It is void ab initio. As order of termination is found to be ex facie illegal, a void order, the necessary corollary is reinstatement. It is premature to going into the aspect of whether the employee lost confidence', set up as a defense to over come palpably illegal order, for, the issue of 'loss of confidence' is yet to be established by due process and it is only the assumption of the competent authority. The chronology of actions taken against the 1st respondent also indicate that the allegations of misconduct are evolving, improving from stage to stage. These allegations are yet to be established. He cannot prejudge the culpability of the employee without affording him opportunity by duly following the procedure required by law to take action against a permanent employee. Even for that matter, a temporary employee is also entitled to opportunity of hearing if he is sought to be terminated on alleged misconduct. We therefore do not see any error in the directions issued by learned single Judge. The second issue is answered accordingly.

21. The Division Bench, in its judgment dated 25.02.2022 passed in W.A. No. 763 of 2019, while upholding the order

dated 17.09.2019 passed in W.P. No. 38211 of 2018, observed in particular at paragraph No. 30 that the learned Single Judge, while deciding W.P. No. 4159 of 2015, had held that the petitioner was a regular employee governed by the service rules notified by the respondents. The petitioner/party-in-person herein was earlier terminated from service by order, dated 24.01.2015 invoking Clause 18 of the appointment letter, dated 02.03.2007 with one(01) month basic pay, the said Clause was invoked treating the petitioner as Contract employee. In W.P.No.4159 of 2015, the said order of termination was set-aside, affirmed by the Division Bench. Learned Single Judge as well as Division Bench had given clear finding that petitioner is a regular employee and is governed by the service rules notified by the Employer and the Employer cannot resort to termination by referring to a term of initial appointment.

22. This Court opines that in view of the clear observations recorded in favour of the petitioner in W.P. No. 4159 of 2015 dated 24.11.2016, as upheld by the Division Bench of this Court in W.A. No. 143 of 2017 vide its order dated 04.01.2021 and confirmed by the Apex

Court vide its order dated 19.09.2022 passed in SLP (C) No. 8633-8635 of 2021 and further reiterated in W.A. No. 763 of 2019, the impugned proceedings dated 29.03.2024, seeking to terminate the services of the petitioner by treating the petitioner as a contractual employee, is contrary to the binding judgments rendered in favour of the petitioner. The impugned action, particularly at the fag end of the petitioner's service, amounts to a colourable exercise of power by the Respondents and the same is unsustainable in law.

23. <u>Taking into consideration:-</u>

a) The aforesaid facts and circumstances of the case.

b) The submissions put-forth by the party-in-person/petitioner and learned senior designated counsel appearing on behalf of the respondents.

c) The averments made in the counter affidavit filed on behalf of the respondents.

d) The contents of the impugned order vide No.IIL:HR:2024, dated 29.03.2024 issued by the 3rd respondent (referred to and extracted above)

(e) The contents of the order vide No.IIL:HR:2021-22, dated 14.11.2022 of the Managing Director, Immunologicals Limited addressed to the party-in-person (referred to and extracted above)

(f) The order of this Court, dated 24.11.2016 passed in W.P.No.4159 of 2015 (referred to and extracted above)

(g) The Division Bench judgment of this Court, dated 06.02.2017 passed in W.A.M.P.No.300 of 2017 in W.A.No.143 of 2017(referred to and extracted above)

(h) The Division Bench judgment of this Court, dated 04.01.2021 passed in W.A.No.143 of 2017(referred to and extracted above)

(i) The Division Bench judgment of this Court, dated 05.05.2021 passed in I.A.Nos.1 & 2 of 2021 in W.A.No.143 of 2017 (referred to and extracted above)

(j) The Division Bench judgment of this Court, dated 25.02.2022 passed in W.A.No.763 of 2019 (referred to and extracted above)

(k) The observations of the Apex Court in the judgments (referred to and extracted above) and again enlisted below:

(i)2025 INSC 144
(ii)2024 LawSuit(SC) 1209
(iii) AIR 2020 Supreme Court 3969
(iv) SCC ONLINE SC 1735
(v) 2026 LiveLaw (SC) 159

(l) The discussion and conclusion as arrived at paragraph Nos.5 to 22 of this order.

The present writ petition is allowed and the impugned order vide No.IIL:HR:2024, dated 29.03.2024 issued by the 3rd respondent is set-aside and the respondent company is directed to reinstate the party-in-person/petitioner with continuity of service and all consequential benefits, within a period of three (03) weeks from the date of receipt of copy of the order. In so far as the plea of the party-in-person/petitioner for imposing exemplary penalty and cost upon the respondent Nos.5 & 6 for having been terminated on three occasions and on being harassed, this Court observes, it is open to the party-in-

person/petitioner to pursue the remedies as are available to the party-in-person/petitioner as per law for the damages and all the legal expenses incurred by the party-in-person/petitioner, since the first termination order issued to the party-in-person/petitioner i.e., 28.02.2007 till as on date, since the same cannot be quantified in writ jurisdiction. However, there shall be no order as to costs.

Miscellaneous petitions, if any, pending in this Writ Petition, shall stand closed.

SD/- A.H.S.GOWRI SHANKAR
ASSISTANT REGISTRAR

//TRUE COPY//

SECTION OFFICER

One Fair Copy to the Hon'ble MRS JUSTICE SUREPALLI NANDA
(For Her Ladyships Kind Perusal)

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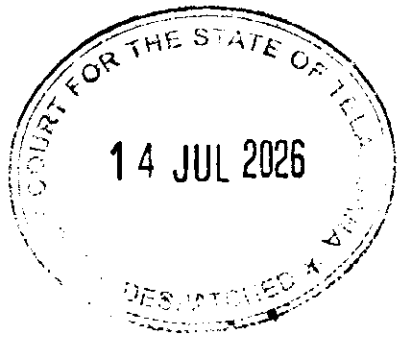
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4. Sri. Narendra Agrawal, S/o. Late Shri Nathulal Agrawal, Aged about 55 years, Occ. Chief Training Manager, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderabad-33.
5. The Company Secretary, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderabad-33.
6. The Dy. Managing Director, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
7. The Vice President - HR, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
8. The Chairman, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33.
9. The Managing Director, Dr K.Anand Kumar, S/o Kanakasapapathy Kandasamy, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33
10. The Vice President-HR, Mr M.C.Muthiah, S/o Lath M Chinnakaruppan, Indian Immunologicals Limited, Road No.44, Jubilee Hills, Hyderaad-33
11. The Director General, Telangana Police Department, Hyd
12. One CC to SRI M.PRANAV, Advocate [OPUC]
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PSK

CC TODAY

HIGH COURT

DATED: 08/06/2026



ORDER
WP.No.22294 of 2024

ALLOWING THE WRIT PETITION
WITHOUT COSTS

27
13/7/26